

# Japan Daily Brief

Sunday, September 27, 2026

1,389 words · 6 min read

**RE:** Takaichi-Trump call post-Xi summit · Yen in play · LDP money scandal resurfaces · Chinese research ship EEZ surveys · US-Japan-ROK econ-security talks

NIKKEI 225  
**66,364.20**  
▲ +3.82%

USD/JPY  
**157.19**  
▲ +0.09%

BRENT  
**\$97.44**  
▼ -1.82%

BOJ RATE  
**1.25%**

## • TOP STORIES

### ALLIANCE

#### Takaichi moves to reassure Tokyo on alliance after Trump-Xi summit, but Beijing presses its counter-narrative

Prime Minister **Sanae Takaichi** held a telephone summit with President **Donald Trump** following his state visit with Xi Jinping, receiving what she described as a 'detailed' briefing and announcing US-Japan agreement to collaborate on China-related issues. The Japan Times reports signs that Beijing is harnessing the summit's symbolism to reinforce its framing of Japan as a revisionist military power.

*per The Japan Times: "Takaichi looks to dispel alliance doubts after Trump-Xi summit"*

THE JAPAN TIMES

### CHINA-JAPAN

#### Chinese marine research vessel conducted repeated EEZ surveys near disputed Senkaku Islands

A Chinese marine research vessel carried out repeated surveys in Japan's exclusive economic zone near the Senkaku Islands, according to Kyodo, raising security concerns in Tokyo about the pattern of surveying activity. The surveys are separate from ongoing China Coast Guard patrols in the contiguous zone.

*per Mainichi: "Repeated surveys by Chinese research ship raise security concerns in Japan"*

MAINICHI

### CHINA-JAPAN

#### Japanese trade delegation led by former Foreign Minister Iwaya visits China

A Japanese delegation from a trade promotion body led by former Foreign Minister **Takeshi Iwaya** visited China on Sunday, signaling a track-two economic engagement channel running alongside the diplomatic turbulence generated by the Trump-Xi summit. The visit reflects Tokyo's continuing effort to manage the bilateral economic relationship in parallel with security concerns.

*per Mainichi: "Japanese trade promotion group led by ex-foreign chief visits China"*

MAINICHI

## LDP anxiety rises over slush fund scandal ahead of fall Diet session

LDP officials are worried that PM Takaichi's appointments of two lawmakers implicated in the party's slush fund scandal will re-energize opposition pressure when the Diet reconvenes. The Japan Times reports the concern is that media and opposition scrutiny of the appointments will dominate the early Diet agenda.

*per The Japan Times: "Japan's LDP worried about fresh attention to money issue"*

THE JAPAN TIMES

### • STAT OF THE DAY

## ¥150B

Japan ODA loan to Mongolia for airport expansion

Japan will lend Mongolia ¥150 billion to expand Ulaanbaatar's Chinggis Khaan International Airport, where passenger traffic has far exceeded projections since the facility opened in 2021.

Japan to lend Mongolia ¥150 billion for airport expansion — Japan Times

### • JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SUNDAY, SEPTEMBER 27, 2026

**PM Watch:** PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi held a press briefing on her post-Trump-Xi summit telephone call with President Trump, announcing Japan-US agreement to collaborate on China-related issues and describing herself as having received a 'detailed' briefing from Trump on his Xi summit.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

## Takaichi briefs press on Trump phone call following Trump-Xi summit

Prime Minister Takaichi held a press briefing on her summit telephone call with President Trump, reporting that the two agreed to collaborate on various issues related to China and that Trump gave her a 'detailed' briefing on his state visit with Xi Jinping. Takaichi characterized Japan and the United States as 'trusted allies.'

→ Kantei ↗

防衛省 · MINISTRY OF DEFENSE (MOD)

## MOD to support defense-tech startups in UAV development

Japan's Defense Ministry announced a program to support startups developing unmanned aerial vehicles, with three main research targets: incorporating domestic components, increasing supply-warehouse efficiency, and reducing aircraft noise.

→ The Japan Times ↗

MOFA issues statement on situation in Tigray region of Ethiopia

MOFA Press Secretary Toshihiro Kitamura issued a formal statement on the situation in the Tigray region of Ethiopia, reflecting Japan's diplomatic attention to the humanitarian situation.

→ MOFA ↗

DIET SESSIONS / LDP

DPP (DEMOCRATIC PARTY FOR THE PEOPLE)

DPP's Nagano prefectural chapter holds inaugural convention, eyes unified local elections

The Democratic Party for the People's Nagano prefectural chapter held its first regular convention — the last of all prefectural chapters to do so nationally — signaling organizational consolidation ahead of unified local elections.

• PUBLIC SENTIMENT & APPROVAL POLLING

| POLLSTER                       | APPROVE | DISAPPROVE |
|--------------------------------|---------|------------|
| ANN · Sep 23, 2026             | 58.3%   | 27.6%      |
| Kyodo · Sep 23, 2026           | 53.4%   | 30.9%      |
| Nikkei · Sep 5, 2026 · 22d ago | 62%     | 33%        |
| Yomiuri · Sep 19, 2026         | 59%     | 30%        |
| FNN · Sep 15, 2026             | 61.6%   | 32.2%      |
| NHK · Sep 10, 2026             | 52.8%   | 30.8%      |
| JNN · Sep 7, 2026              | 62.5%   | 34.9%      |
| Asahi · Sep 5, 2026 · 22d ago  | 53%     | 33%        |

**Discourse:** The LDP's slush fund scandal is resurfacing as a political liability, with PM Takaichi's post-reshuffle appointments of two implicated lawmakers drawing fresh opposition and media attention ahead of the fall Diet session.

Poll tracker: **Observing Japan approval-rating aggregator** →

• BUSINESS & ECONOMY

MACRO · EL PAÍS ENGLISH · BANK OF JAPAN

BOJ rate normalization and US pressure converge on yen policy

El País reports Japan has 'partially turned off the cheap money tap' — referencing BOJ rate rises — with the policy shift gaining external reinforcement from Trump's direct expression of concern over the weak yen to PM Takaichi; the BOJ policy rate stands at 1.25% as of September 27.

MANUFACTURING · NIKKEI ASIA

## Japan herbal remedy producers move to reduce China supply-chain dependence

Japanese makers of traditional herbal medicines are actively seeking to reduce reliance on Chinese-sourced raw materials in their supply chains, citing both geopolitical risk and supply reliability concerns.

### REGIONAL PRESSURE WATCH

Low — 4 items

#### CHINA

A Chinese marine research vessel conducted repeated surveys in Japan's EEZ near the disputed Senkaku Islands, per Kyodo, raising security concerns in Tokyo about the pattern of activity. Beijing is separately pressing its counter-narrative following PM Takaichi's UNGA call to remove UN Charter 'enemy state' clauses, with the Trump-Xi summit providing fresh symbolic material for Chinese state media's framing of Japan as a revisionist military actor.

#### NORTH KOREA

North Korea's foreign ministry has declared the country's nuclear weapons status 'irreversible' and rebuffed the US-Japan-South Korea trilateral denuclearization push; the trilateral economic-security talks launched a new round of consultations despite the Trump-Xi summit backdrop.

**Senkaku / ECS:** A Chinese marine research vessel conducted repeated surveys in Japan's EEZ in waters near the Senkaku Islands; no new CCG territorial-water intrusion or use-of-force incident is reported in today's articles.

**Bottom line:** The Chinese research vessel EEZ survey pattern near the Senkakus, combined with Beijing's exploitation of the Trump-Xi summit to reinforce its anti-Japan narrative, represents a sustained dual-track pressure campaign; watch for any Chinese MOFA statement directly linking the summit outcome to Japan's defense posture.

### • U.S.-JAPAN RELATIONS

#### ALLIANCE · MAINICHI

##### Takaichi and Trump agree to collaborate on China issues in post-Xi summit phone call

PM Takaichi reported that she and President Trump agreed during their telephone summit to collaborate on 'various issues' related to China, with Trump providing a detailed account of his state-visit discussions with Xi Jinping. Takaichi described the US-Japan relationship as that of 'trusted allies.'

#### ALLIANCE · THE STAR / WIRE

##### US, Japan, and South Korea launch economic-security talks amid Xi's Washington summit

The United States, Japan, and South Korea launched a new round of economic-security talks, proceeding on schedule despite the concurrent Trump-Xi summit in Washington. The trilateral economic-security channel has been running in parallel with the geopolitical turbulence generated by the US-China summit.

### • INDO-PACIFIC PARTNERS

#### TRILATERAL · THE STAR / WIRE

##### US-Japan-South Korea economic-security talks proceed despite Trump-Xi summit

The US-Japan-South Korea trilateral economic-security dialogue launched a new round of consultations, with the three countries continuing to coordinate on economic security frameworks while the Trump-Xi summit was

underway in Washington.

#### SOUTHEAST ASIA · MAINICHI

### Kansai airport targets expanded international routes, including revival of India and Indonesia services

The operator of Kansai International Airport has announced plans to expand international routes, with India and Indonesia services under discussion for resumption, strengthening Japan's aviation connectivity to South and Southeast Asia.

## • SOCIAL STATEMENTS



### Satsuki Katayama

Finance Minister of Japan · Bloomberg · Sep 27 2026

*"Not a Reflationist"*

**Analyst:** Finance Minister Katayama made this characterization of PM Takaichi's economic policy orientation in the context of Trump's expression of concern about the weak yen, signaling that Tokyo does not intend to use monetary loosening as a deliberate policy tool.

Source →

## • UPCOMING

Oct  
1

### Fall Diet extraordinary session expected to convene

The LDP-led government is expected to convene an extraordinary Diet session in early October; LDP money-scandal scrutiny and opposition coalition dynamics will shape the legislative agenda. Exact date to verify from Diet announcement.

Oct  
15

### BOJ Monetary Policy Meeting (estimated)

The Bank of Japan holds roughly eight Monetary Policy Meetings per year; the next meeting falls in mid-October. Markets will watch for any signal on additional rate normalization, particularly given Trump's yen remarks to Takaichi.

Oct  
21

### First anniversary of Takaichi Cabinet inauguration

The Takaichi Cabinet was inaugurated on October 21, 2025; the one-year mark arrives amid ongoing scrutiny of the LDP slush fund appointments and active US-Japan trade and alliance negotiations.

Nov  
1

### US midterm elections (Trump convention speech signals campaign posture)

NHK World reported Trump spoke at a midterm convention in Texas; US midterm outcomes will shape the legislative environment for US-Japan trade legislation and alliance burden-sharing debates in Congress.

Dec  
1

### MOD FY2027 budget draft due for Cabinet consideration (estimated)

Japan's annual defense budget cycle calls for a Cabinet draft budget in December ahead of Diet passage in March; the ongoing Three Strategic Documents review and the 2%-of-GDP baseline will frame the request.

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generated 7:05 AM ET

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